Management Discussion and Analysis

Cipla's 90-year commitment to advancing healthcare has significantly impacted patients worldwide. Guided by its purpose, 'Caring for Life', Cipla excels in multiple therapeutic areas, especially respiratory care in India and emerging markets. The Company has transformed its business models, expanded its global footprint and reinforced its competitive edge.

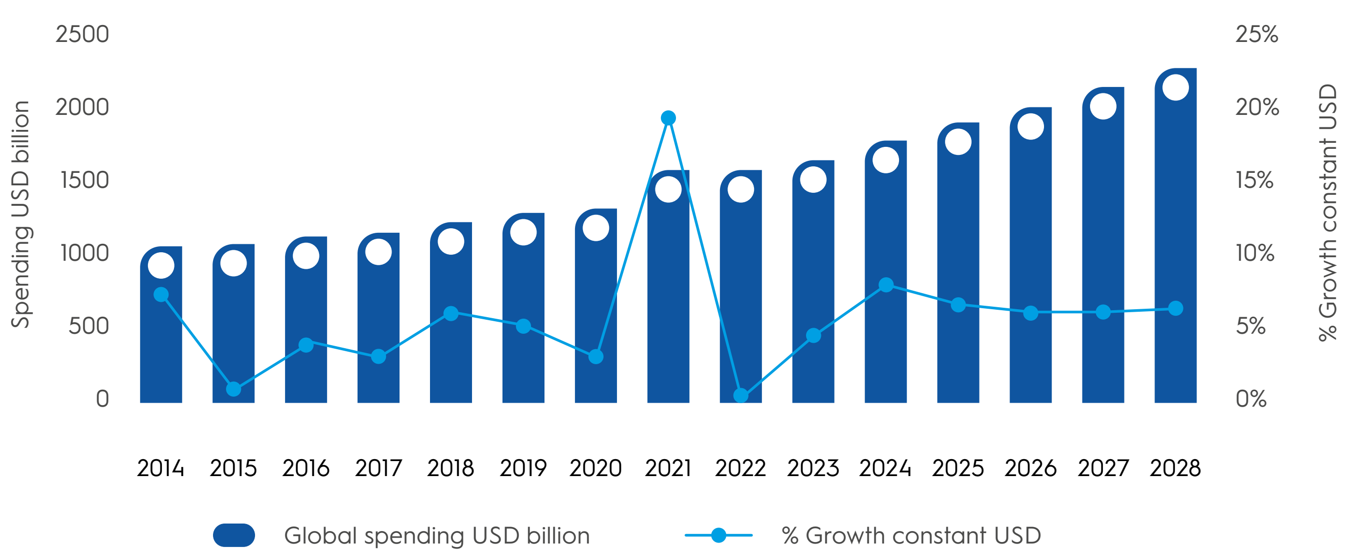
Cipla invests in automation and digitalisation to enhance efficiencies in portfolio selection, manufacturing, supply chain and quality operations. It prioritises talent development, fostering a culture of agility, innovation and excellence. Cipla maintains a robust quality management system to ensure regulatory compliance and boasts advanced manufacturing capabilities for high-quality exports. In R&D, Cipla is increasing spending on respiratory products, peptide injectables and biosimilars, integrating data science and digital technology into its efforts.

Cipla offers complex products at affordable prices, serving patients with innovative respiratory drug-device combinations, complex formulations and a wide array of capabilities across injectables, oral solids and inhalation therapies. The Company strategically leverages opportunities while managing risks.

Globally, Cipla's teams work to meet patient expectations, strengthen core operations, and identify emerging opportunities to deliver superior returns to shareholders. The Company has exceeded stakeholder expectations with rigorous portfolio execution and financial discipline, driving higher profitability and improved cash flow. Cipla focuses on fortifying its core franchises while exploring new areas like complex generics, biosimilars, new therapies, inhalation devices, diagnostic solutions, advanced technology platforms and digitised business models. The consumer business has shown steady growth, addressing unmet needs in categories such as pain relief, cold and cough, smoking cessation, gut health, skincare and feminine hygiene.

Global overview and Key Therapy areas:

Global medicine market size and growth for 2014–2028 including estimated COVID-19 vaccine and therapeutic spending:



Source: IQVIA Market Prognosis, September 2023; IQVIA Institute, December 2023.

The total amount spent on purchasing medicines from manufacturers before off-invoice discounts and rebates is projected to reach USD 2.3 trillion by 2028, growing at an annual rate of 6–9% (at 5–8% including expenditures on COVID-19 vaccines and therapeutics). Growth trends are expected to stabilise following disruptions experienced during the 2020–2023 pandemic period. Key drivers of this recovery include launch of new product and the effect of patent expiries, with biosimilars playing an increasingly significant role in shaping market dynamics.

By 2028, the highest forecasted therapy areas for spending include oncology, immunology, diabetes, cardiovascular and neurology. Oncology is expected to see a 14–17% Compound Annual Growth Rate ('CAGR') through 2028, driven by the continued launch of novel cancer treatments. Diabetes is projected to become the third-largest therapy area globally, reaching nearly USD 184 billion, with an estimated growth of 3–6% over the next five years. Seasonal respiratory infections, including cough, cold and flu along with flu vaccines are expected to grow at 5% through 2028. Mental health spending is forecasted to rise by 9–12%, fueled by innovations in anxiety and depression treatments, while obesity-related therapies are anticipated to grow at 24–27% as highly effective treatments gain wider adoption across multiple countries.

Cipla is moving in line with the global trends:

Respiratory:

One India business leads in Respiratory, ranking #1 with a market share of over 25%[1]. In North America, Cipla is fourth largest player in terms of number of prescriptions[2]. Albuterol enhanced its market share to ~18% during the year.

Oncology:

North America has consolidated its Oncology franchise with gRevlimid, Lanreotide ANDA and Lanreotide 505(b)(2) in the portfolio. Recently, the business has also received the generic drug approvals of Nilotinib 505(b)(2) and gAbraxane with a plan to launch in FY 2025-26.

Other Chronic therapies:

Our key brands like Dytor, Urimax franchise, Tazact etc. continued to grow faster than, the market and gained market share. During the year, the business also launched Empagliflozin in India, a medication used to treat type 2 diabetes, and other conditions like chronic kidney disease and chronic heart failure.

In the long term, the Company aims to strengthen its presence in 505(b)(2) and Oligonucleotide assets, alongside advancing a Global Biosimilar asset currently in the early stages of development. Additionally, the company aspires to become 'Future Fit' by investing in emerging therapies, with a focus on areas such as Mental health and Obesity.

Evolving framework across key regulated markets

In 2024, the approval of novel drugs, first generics, biologics and biosimilars progressed steadily across nations, ensuring seamless availability of essential chronic treatments for patients globally. Meanwhile, the global pharmaceutical sector is witnessing major influences from evolving regulatory policies, the adoption of advanced digital health solutions, therapeutic advancement and the growing emphasis on sustainable practices. These elements are collectively driving innovation and shaping the industry's future.

National List of Essential Medicines ('NLEM'), 2022 - Indian Pharmaceutical Market

In a bid to make drugs affordable, Ministry of Health and Family Welfare revisits and revises National List of Essential Medicine ('NLEM') every five years. NLEM 2022 was released by the Ministry in September 2022, a revision to the previous NLEM 2015 (delayed by around two years due to pandemic). Pricing of several antibiotics, vaccines, anti-cancer drugs and many other important drugs have become more affordable effective from 11^{th} November, 2022. The NLEM focuses on aspects such as safety,

[1&2] IQVIA MAT March 2025

efficacy, availability and affordability. It comprises of 384 drugs across 27 categories. While the 2022 list has 34 new drugs, 26 drugs from the 2015 list have been removed. Cipla is compliant with the Drug Price Control Order ('DPCO') and ensures adherence to pricing regulations set by the government. The Company is committed to patient well-being by prioritising patient-centricity, affordability and accessibility through the production of high-quality medicines.

Advanced therapies

The global pharmaceutical industry is evolving with key therapeutic trends. Oncology leads growth with innovative treatments, while immunology and neurology are emerging as critical areas with breakthroughs in biologics and neurological care. Diabetes and cardiovascular treatments continue to address widespread health challenges and rare diseases see rising focus through personalised medicine. Efforts in infectious diseases are shifting beyond pandemic treatments to broader health concerns. These trends highlight the industry's commitment to innovation and addressing diverse healthcare needs.

Health tech innovations

Digital health solutions are revolutionising the pharmaceutical industry by enhancing patient care and streamlining operations. Through tools like telemedicine, health apps and wearable technologies, they enable remote monitoring and personalised treatment. These innovations improve medication adherence, facilitate real-time data collection and support research and development. Additionally, digital platforms strengthen communication between healthcare providers, patients and pharma companies. Together, they drive efficiency, accessibility and better health outcomes globally.

Medical devices

In 2024, the Indian government continued to advance initiatives under the National Medical Devices Policy, aimed at fostering domestic growth in the sector and ensuring the availability of affordable, high-quality medical devices for global markets. In alignment with this policy direction, Cipla remained focused on strengthening its leadership in respiratory devices by identifying and investing in strategic areas within the segment. The Company further enhanced its internal regulatory frameworks and refined its overall device strategy to better align with evolving market dynamics across both domestic and international markets.

Artificial intelligence ('AI')

In FY 2023-24, Cipla committed to 15 AI use cases across operations, markets, talent and strategy, leveraging AI to derive personalised insights from large, unstructured data sets. Encouraged by initial success, we have begun establishing a scalable AI foundation—focusing on people, training, frameworks, and ecosystem—while specialised teams identify key integration areas to optimise processes and drive innovation. AI training programs are being introduced and partnerships with leading research institutions and tech firms will ensure we stay ahead of advancements. By continuously monitoring AI's impact, refining strategies, and fostering a culture of learning, we aim to maximise its value. In FY 2024-25, we will scale these initiatives, enhance innovation in healthcare technology and maintain transparency to build stakeholder trust.

Key Financial highlights

Please refer to Financial Capital on page no. 128 of this report for key financial highlights and financial performance of the Company in FY 2024-25.

Business performance and Outlook

One-India

Cipla's One-India business comprises of branded business, trade generics (through Cipla Pharma and Life Sciences Limited) and consumer health business (through Cipla Health Limited). Cipla's One India Business posted a healthy growth of 7% for the financial year, propelled by traction in branded prescription, trade generics and consumer health business. The business continues to witness strong growth across core therapies.

The focus for FY 2025-26 will be towards maintaining market beating growth, increasing the share of chronic therapies, traction in big brands, industry leading medical representatives' productivity and enhancing patient experience with digital analytics and data science.

Branded prescription business

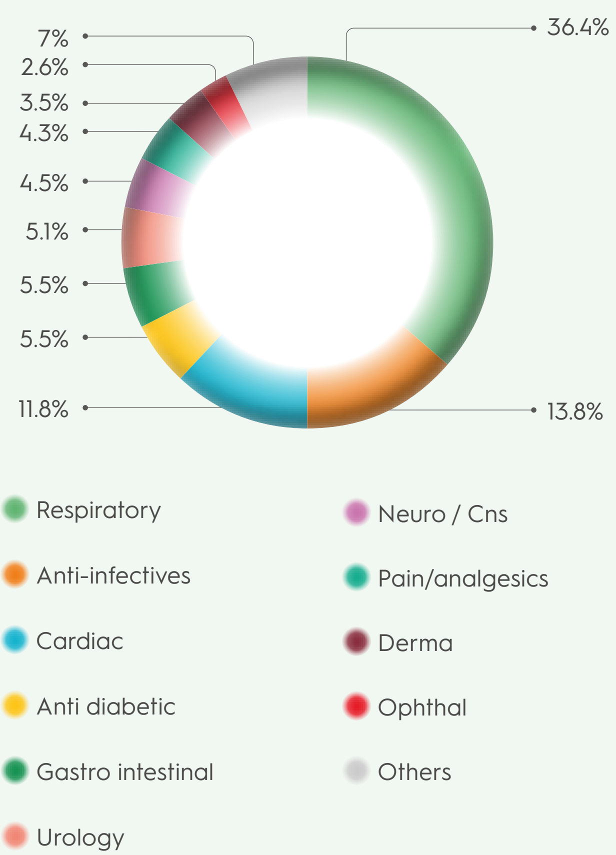
Cipla's branded prescription business has maintained strong momentum in FY 2024-25. Chronic therapies have been a key growth drive for us, with faster than market growth in our focus therapies of respiratory, cardiac and urology.

The contribution of chronic therapy sales has increased to 61.5%, driven by strong growth in chronic therapies and the strategic addition of anti-epilepsy brands from Sanofi. Our brand, Foracort, has consistently held the No. 1 position in the Indian Pharma Monthly ('IPM') throughout the year and continues to maintain its top ranking, recently crossing ₹ 900 crores in sales for the first time in MAT March 2025. Furthermore, our top brands continue to outperform the market across key focus therapies. In the Cardiac segment, the Dytor franchise has entered the IPM Top 50, while in Urology, the Urimax franchise has joined the ₹ 400 crores club, with its flagship brand, Urimax D, securing a spot in the IPM Top 100. Additionally, our anti-AR brand, Montair

LC, has entered the ₹ 300 crores club, further strengthening our presence in the market.

Therapy	Market rank	Market Share	Cipla Growth	Market Growth
Overall	3	5.5%	7.4%	8.0%
Chronic	2	8.6%	7.6%	9.8%
Acute	8	3.5%	7.2%	6.9%
Respiratory	1	25.3%	6.1%	3.4%
Urology	2	12.4%	18.9%	13.6%
Anti-infectives	4	6.9%	7.2%	5.1%
Cardiac	7	5.0%	12.6%	11.7%
Gastro-Intestinal	10	2.8%	11.5%	9.7%
Anti-diabetics	10	3.4%	8.5%	8.2%

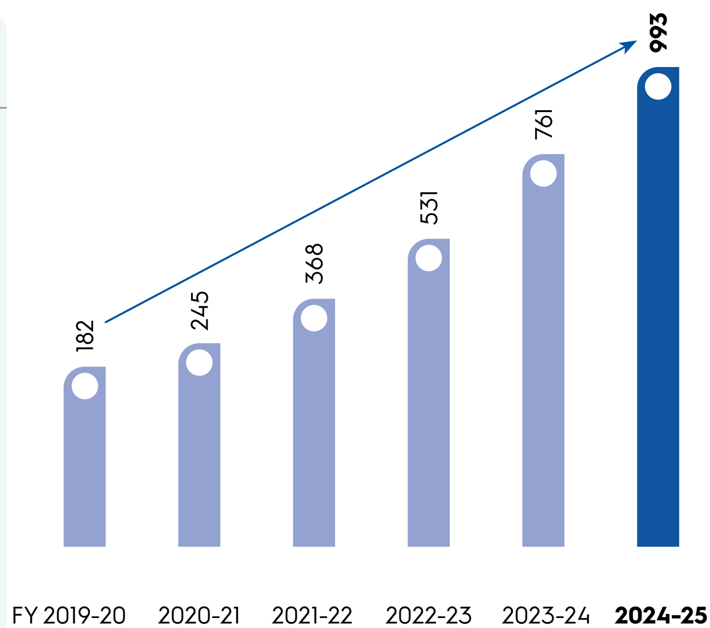
Therapy-wise share split of India Branded prescription business



Source: IQVIA MAT March 2025

We continue to strengthen our presence in targeted therapies by partnering with global pharma companies. Our In-licensing portfolio has grown at 40% CAGR over the last 5 years. Our partnerships include in-licensing deals with Novartis and Eli Lilly in the Anti-diabetes segment, with Roche in oncology and with Sanofi in Anti-Epilepsy. In FY 2024-25, we entered into a partnership with Orchid Pharma Limited for their Antimicrobial Resistance ('AMR') portfolio. This partnership aligns with our strategy to build a robust portfolio in the AMR space. Our partnership with MannKind Corporation, USA for inhaled insulin will provide patients in India with access to this device for the first time, further expanding our portfolio of anti-diabetes medicines. To further strengthening our ophthalmology portfolio, we have signed our first multi-regional licensing deal with Formosa Pharmaceuticals Inc., to bring an innovative treatment - clobetasol propionate ophthalmic suspension.

Strong Sales in In Licensed Deals (in ₹ crore)



Outlook FY 2025-26

We aim to sustain our growth momentum and outperform the market by strengthening our core brands and ensuring successful new launches. Our focus will remain on high-efficacy molecules in Anti-diabetes, Respiratory and AMR therapies. Enhancing field force productivity and supporting healthcare professionals ('HCPs') and patients will be key priorities, supported by the continued integration of digital tools and analytics. While pricing pressures from NLEM changes are expected to persist, we will mitigate the impact through volume-led growth.

Trade Generics business

In FY 2024-25, the generics business unit at Cipla Pharma and Lifesciences Limited, subsidiary of the Company, transitioned to a new distribution model and optimised operations to enhance profitability and sustainability. The implementation of the newly structured distribution framework led to a temporary business impact during the first two quarters of the year. However, the business continued to thrive in a dynamic and challenging market environment, demonstrating resilience and adaptability in the face of challenges. The business continued to strengthen its leadership position in the generics market industry via brand building initiatives and improving reach via deep distribution.

The retail vertical of the business has expanded across India, enabling productive engagements at over 1.5 lakh retail and pharmacy stores. This expansion is enhancing the reach and demand for generic products, ensuring accessibility down to the last mile. Additionally, the business continues to invest in innovative digital capabilities, broadening its audience and fostering new ways to engage with customers. To meet evolving patient needs, new products have been introduced, further strengthening the portfolio. Moreover, consumerisation initiatives are being expanded to bring products closer to users, enhancing accessibility and overall impact.

Outlook for FY 2025-26

The business unit aims to continue the growth momentum and is committed to enhancing its core business through strategic measures such as simplified commercials, concentrated emphasis on big brands, launching new products, increasing field presence across geographies & therapies, implementing market shaping initiatives and driving a mass market portfolio.

At the same time, focus will be on building new business by strengthening presence in emerging therapies and consumer segments, leveraging innovative digital tools for improved engagement with channel partners and launch of patient centric initiatives. The business remains committed and focused to delivering value to all stakeholders and building to improve access to patients.

Consumer business

In India, Cipla's consumer health business is housed under its wholly owned subsidiary, Cipla Health Limited ('CHL'). In FY 2024-25, the business continued to drive "illness to wellness" theme led by brand building initiatives, deep distribution and category innovations.

Consumer reached

~550K+
Pharmacies*

200K+
Grocers and Others*

110K+
Cosmetics*

~10K+
Modern Trade**

12
E-commerce**

*Basis AC Nielsen data

** Basis internal data

The business delivered strong growth with healthy profit margins led by healthy traction in both core and emerging brands driven by high consumer awareness through robust media campaigns and in-depth consumer insights conducted throughout the year. The business has five core ₹ 100 crores+ brands and is well positioned for growth across brands.

In FY 2024-25, CHL also completed the acquisition of Ivia Beaute Private Limited to further strengthen its position in the fast-growing beauty and personal care sector catering to the aspirational consumer of India. CHL has an omni channel sales distribution with presence across Chemists, Grocers, Cosmetic Stores, Modern Trade, E-Commerce, Quick Commerce as well as D2C channels.

Top brands like Nicotex, Omnigel, Cofsils, Prolyte, Cipladine, Endura Mass and Maxirich continue to build a strong connect with their consumers through an "Always On Media" approach.

Anchor Brands

Omnigel
#1**
Pain Care

Cipladine
#1**
Medicated Ointments

Prolyte ORS
#2**
ORS

Astaberry
#2***
Hair Removal Cream

Nicotex
#1*
Nicotine replacement therapy

Cofsils
#2**
Sore Throat

Note: Market share as per latest market estimates

*IQVIA estimates as on March 2025 I ** AC Nielsen Estimates as on March 2025 I *** AC Nielsen Estimates as of March 2025

Outlook for FY 2025-26

- **CHL will continue the growth momentum by making big brands bigger, strengthening current portfolio position in the market, and build a formidable franchise to improve consumer's lives every day.**
- **CHL will focus on brand-building of existing brands while also exploring inorganic opportunities and strengthening its play in digital channels of growth.**

North America

Cipla's North America business delivered its highest-ever annual revenue, reaching USD 934 million, driven by strong momentum in our differentiated product portfolio. This growth was fueled by the successful launch of complex generics such as Lanreotide ANDA and continued value maximisation from our base portfolio. During the financial year, Cipla marked a significant milestone—completing 10 years of direct market presence in the United States. Since the launch of Albuterol five years ago, we have cumulatively shipped over 50 million inhalers to customers across the United States. Our market share in Albuterol segment has increased from 13% at the end of FY24 to 18%[3] at the end of FY25.

During the year, we successfully launched two complex peptide injections in the U.S. market. Additionally, we introduced three injectable products with Competitive Generic Therapy ('CGT') exclusivity, further strengthening our specialty portfolio. Our 505(b)(2) development pathway progressed with the FDA approval of Nilotinib capsules in February 2025, with a planned launch in FY 2025-26. We continued to enhance our respiratory capabilities in the U.S. through strategic investments in our Long Island and Fall River facilities. Notably, we filed Abbreviated New Drug Applications ('ANDAs') for a generic version of Symbicort and another inhaled product over the past 12 months. Furthermore, our Goa manufacturing facility received Voluntary Action Indicated ('VAI') status from the U.S. FDA, paving the way for future product launches from this site.

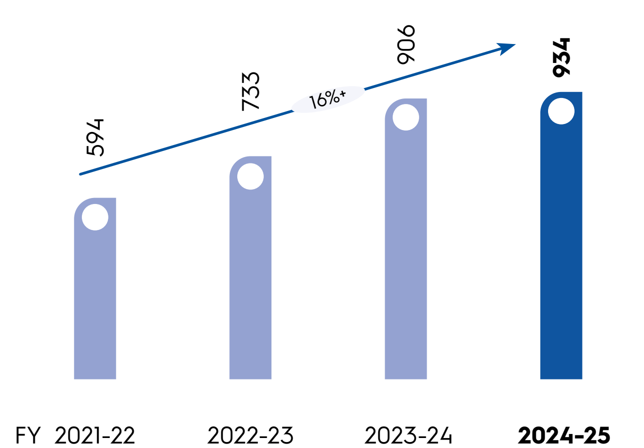
Our commitment to community well-being is reflected in our active participation in initiatives such as the Lung Force Walk through the COPD Foundation, as well as our continued support and funding for the American Cancer Society. These efforts are a testament to our enduring purpose and vision: Caring for Life.

Market Segment	TRx Overall Market Rank	TRx Overall Market Share
Albuterol HFA*	2	18.7%
Budesonide Solution	3	18.0%
Sertraline Tablets	2	22.7%
Esomeprazole Granules	1	44.3%
Ipratropium + Albuterol solution	3	18.8%

Source: IQVIA TRx share for the month of March 2025

*Total Albuterol MDI market

Growth during the years (in USD mn)



[3] IQVIA data for the week ending 28th March, 2025

Outlook FY 2025-26

Our strategic investments in inhalation therapies, complex generics, peptide-based injectables and emerging areas such as oligonucleotides and differentiated 505(b)(2) products are positioning us for sustained growth over the medium to long term. The unlocking of capacity at our China respules facility, along with our Metered Dose Inhaler ('MDI') and Dry Powder Inhaler ('DPI') manufacturing sites in the U.S., is expected to contribute significantly to revenue in FY2025–26 and FY2026–27.

Pipeline Portfolio Update and Break-up

80
Total UA/TA* March 2024

13
Filed in FY 2024-25

79
Total UA/TA Mar 2025

0
Withdrawals

14
Final Approvals FA* & TA to FA in FY 2024-25

Note:* UA- Under Approval, TA- Tentative approval, FA- Final approval

One Africa (South Africa, Sub-Saharan Africa, North Africa and Cipla Global Access)

FY 2024-25 delivered strong performance across multiple parameters in One Africa region. Despite an intensive competitive environment, One Africa landed at a revenue of ₹ 3,827 crores with growth of 14% in ₹ terms (Ex-QCIL divestment)

South Africa

Cipla South Africa continued its strong performance, delivering robust core revenue growth and accelerated profitability. The business recorded a 15% year-on-year increase in revenue in local currency terms, reaching ZAR 6.3 billion. This growth was driven by outstanding performance across both the private and tender segments. The private market contributed 77% of the total revenue, with the remaining 23% coming from the tender business.

New product launches played a pivotal role in this success, with fresh offerings contributing significantly to the strong growth witnessed in FY2024–25.

Private Market – OTC and Rx

Cipla's private market business outperformed industry trends, delivering a strong secondary revenue growth of 6.7%—approximately 1.3 times the overall market growth. Cipla now ranks second in the prescription (Rx) market and stands out one of the companies with a business exceeding ZAR 3 billion in value. In the over-the-counter ('OTC') segment, Cipla holds third position, with OTC segment growing faster than the market. Actor Pharma (Pty) Ltd continues to be a key growth driver in the OTC space, with a strategic focus on women's health, anti-infectives and paediatric care.

Both Cipla's OTC and Rx businesses have grown ahead of the market, resulting in increased market share compared to the previous year.

Market Segment	Market Rank	Market Share	Cipla Growth	Market Growth
OTC & OTC SEP	3	8.5%	6.3%	4.4%
Rx	2	8.7%	6.9%	5.8%
Total	3	8.7%	6.7%	5.3%

Source - IQVIA MAT March 2025

Private Market - Therapy View

At a therapy level, Cipla has increased its market shares across key therapies including Respiratory, Nervous System, Musculo-skeletal system Anti-Infectives, Cardiovascular and G.U. System + Sex Hormones.

Therapy	Market Rank	Market Share	Cipla Growth	Market Growth
Systemic Anti-infectives	1	12.3%	8.4%	0.8%
G.U.System+ sex hormones	3	11.8%	22.6%	6.1%
Respiratory system	2	15.1%	3.3%	2.8%
Nervous system	3	11.5%	6.3%	4.9%
Cardiovascular system	3	8.4%	9.2%	3.6%
Alimentary Tr+metabolism	4	5.9%	10.1%	12.6%
Musculo-skeletal system	4	7.4%	8.2%	3.9%
Antineoplast+ immunomodul	8	6.1%	-11.2%	2.4%

Source - IQVIA MAT March 2025

Tender

Cipla's tender business delivered outstanding growth in FY 2024-25, elevating our position to the second-largest player in South Africa's tender market. This performance is underpinned by our strong presence in antiretrovirals ('ARVs'), vaccines, respiratory therapies, and oral solid dosage ('OSD') forms. Through our current tender engagements, we are proud to support the treatment of over three million patients annually.

Outlook for FY 2025-26

The outlook for Cipla South Africa remains highly positive. Building on the momentum of FY 2024-25, we are well-positioned to capitalise on strategic opportunities with a continued focus on profitability. Our growth strategy will center on strengthening market leadership through organic product launches, as well as strategic partnerships and collaborations. We anticipate sustained expansion and deeper market penetration in the coming year.

Sub Saharan Africa ('SSA')

Cipla's Sub Saharan Africa business has demonstrated strong double-digit growth of 18% YoY in FY 2024-25 in USD terms, bolstered by exceptional growth in Ghana in West Africa and Mauritius and Madagascar in the Oceanic cluster. We are strengthening our market leadership in Kenya, delivering growth that outpaces the market by 16% points. Cipla holds a leading position in respiratory therapies and commands over 10% market share in key therapeutic areas including gastrointestinal, pain management and respiratory care.

Outlook for FY 2025-26

The Sub-Saharan business remains deeply committed to delivering innovative treatment solutions to patients across the region. By leveraging digital innovation in asthma and Chronic Obstructive Pulmonary Disease ('COPD') diagnosis, we aim to enhance early detection and access to care for respiratory diseases—further reinforcing our strong market position in the respiratory segment. In parallel, we are focused on building a robust portfolio in cardiovascular and diabetes therapies to address the growing burden of non-communicable diseases. We will continue to strengthen our market leadership in East Africa while accelerating growth in Southern and West Africa, with a particular emphasis on Ghana.

North Africa ('NA')

In FY 2024-25, our North Africa operations delivered exceptional results, achieving 22% year-on-year growth and exceeding both revenue and profit targets, despite facing substantial challenges. Operating primarily in Morocco and Algeria, we strengthened our leadership in key therapeutic areas, ranking first in CNS and second in Respiratory in Morocco, and securing fifth in Respiratory, and second in MDIs in Algeria. Our strategic partnership model also enabled us to extend our reach into French West Africa, significantly improving patient access to critical treatments.

Outlook for FY 2025-26

Looking to 2026, we are preparing for a transformative year as we expand into Oncology, with the launch of treatments for myeloma and myelodysplastic syndromes and breast cancer. We will also continue to build on our strength in respiratory in Morocco and Algeria. We are well-positioned to leverage our strong foundation, strategic vision and leadership to drive continued growth and reinforce our competitive position in the region.

Cipla Global Access ('CGA')

Cipla's revolutionary efforts and established long term alliances with funding organisations globally, have been at the forefront of extending the reach of affordable care for HIV/AIDS and malaria patients since 2001. TLD (Tenofovir/Lamivudine/Dolutegravir 300/300/50 mg) is the most widely taken drug in the 1st line Anti-retro viral('ARV') treatment currently and has reached millions of patients through various Institutional agencies.

In FY 2024-25, we catered to the needs of around 1.5 million + patients in 64 countries and also launched the Paediatric Abacavir/Lamivudine/ Dolutegravir ('pALD'). This was complemented with strong strides made in the availability and supply of Anti Malaria and Reproductive Health medicines as well.

Outlook for FY 2025-26

Cipla Global Access remains steadfast in its mission to deliver life-saving, affordable medicines across multiple countries, primarily in low- and middle-income countries ('LMICs'). In FY2025-26, we aim to expand our impact by launching new products and entering additional therapeutic areas, including reproductive health, oncology and anti-tuberculosis treatments—broadening patient access to essential, low-cost medications. Our focus will remain on scaling capacity, enhancing operational efficiency and onboarding new customers to strengthen our global footprint and ensure sustainable growth.

Emerging Markets and Europe ('EMEU')

Cipla's EMEU region delivered a strong turnaround in FY2024-25, achieving revenue of USD 390 million—reflecting a robust 15% year-on-year growth in USD terms, despite ongoing market volatility. This performance was driven by our deep market strategy and the successful execution of our "Energise, Build & Win" theme, which laid a solid foundation for sustainable growth while maintaining healthy margins.

Portfolio Update:

Our focus is to build future pipeline of differentiated products, both in-house and through licensing route, to drive growth in our deep markets. In FY 2024-25, we filed 100+ products across markets.

Key Launches during FY 2024-25 across EMEU

Molecules	Therapy	Geography
Beclometasone + Formoterol MDI	Respiratory	Germany, Spain, Norway, EU
Fluticasone MDI	Respiratory	France, Saudi Arabia
Fluticasone Salmeterol DPI	Respiratory	Australia, Italy, Saudi Arabia
Dymista NS	Respiratory	China
Esomeprazole	Gastroenterology	China
Dapagliflozin	Antidiabetic	China

Outlook for FY 2025-26

EMEU will continue to prioritise deep market engagement while advancing a differentiated product pipeline. Our focus remains on ensuring timely product launches and fostering meaningful partnerships—key enablers in achieving our double-digit growth aspirations.

Active Pharmaceutical Ingredients ('API')

With its 60+ years' experience in manufacturing APIs, Cipla has produced 200+ APIs of various complexities. The APIs are supplied to 50+ countries across the globe helping local pharmaceutical companies reach out to their patients. The Company continues to be a preferred partner to many large generic pharmaceutical companies globally due to its focus on niche molecules and manufacturing scale. A strong dedicated team of over 300+ scientists aid the Company to differentiate itself with the capability to handle a wide range of chemistries and complex molecules.

Cipla covers a wide array of therapies with 2470 Drug Master Files ('DMFs') submissions till date. Within FY 2024-25, Cipla made 266 DMF filings in various countries. The Company has a robust portfolio of over 158 APIs across regulated markets in various stages of development.

Manufacturing Capability

Cipla operates four API manufacturing sites that are fully compliant with current Good Manufacturing Practices ('cGMP') and approved by leading international regulatory authorities, including the U.S. Food and Drug Administration ('US FDA'), European Directorate for the Quality of Medicines and Healthcare ('EDQM'), Pharmaceuticals and Medical Devices Agency, Japan ('PMDA'), World Health Organisation ('WHO'), Therapeutic Goods Administration, Australia ('TGA'), and Korea Food and Drug Administration ('KFDA').

These facilities include dedicated units for the production of oncology, hormone and corticosteroid active pharmaceutical ingredients ('APIs'), with a total API manufacturing capacity exceeding 850 metric tons. Cipla also brings advanced capabilities in handling a wide range of batch sizes and offers specialised expertise in particle engineering and micronisation—critical for achieving the desired particle sizes in respiratory APIs.

The Company's infrastructure includes three API Research & Development ('R&D') centres, two pilot plants and three safety screening laboratories. All manufacturing sites are equipped with zero liquid discharge systems and comprehensive wastewater treatment facilities, including Effluent Treatment Plants ('ETP') with Multi-Effect Evaporators ('MEE'), Agitated Thin Film Dryers ('ATFD'), Vertical Thin Film Dryers ('VTFD') and Reverse Osmosis ('RO') units. Notably, all of Cipla's India-based manufacturing sites have been certified as 'Zero Waste to Landfill', underscoring the Company's commitment to sustainable and environmentally responsible operations.

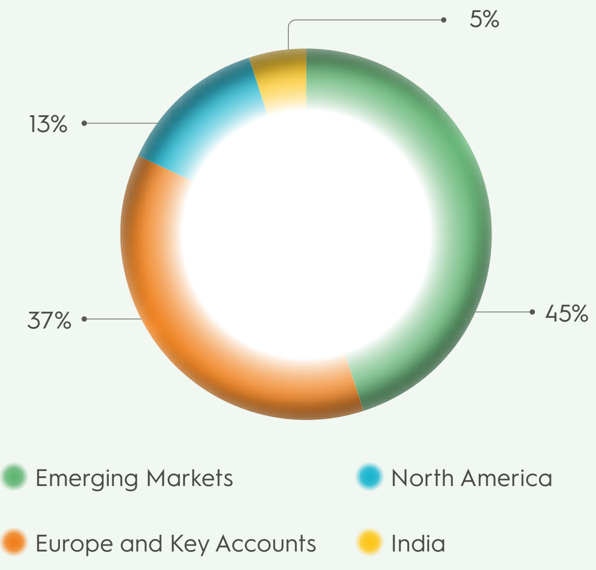
Business Performance

In FY 2024-25, the API Business had multiple headwinds like geopolitical issues, global supply chain interruptions, high inflation rates and pressure on margins for commercialised molecules. Geopolitical issues majorly impacted the prices of Key Starting Materials and Intermediates thereby increasing the API prices. However, the Company was not only agile with regular supplies but also ensured timely supplies to support customers with their critical launches and lock-in with multiple customers.

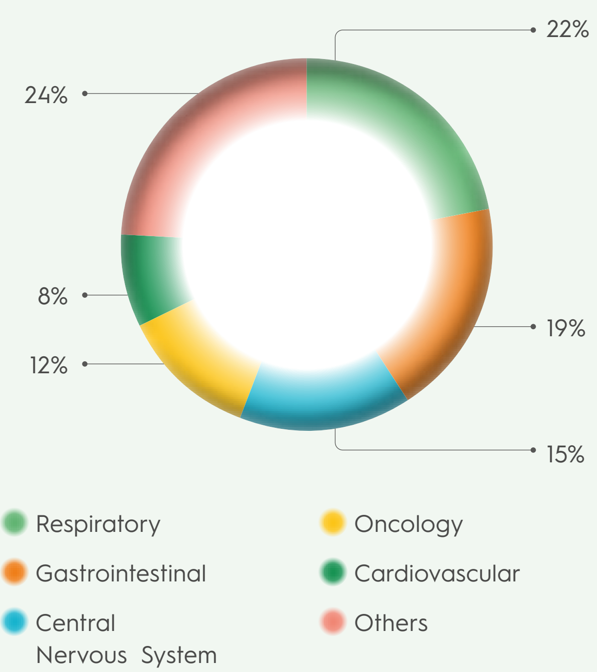
API Business revenue witnessed a marginal dip as compared to the previous financial year. The FY 2024-25 revenue stood at USD 67 million. The revenue by geography and by therapy is reflected in the graph below. The API business delivered strong performance, driven by a successful mix of differentiated products, enhanced traction in market seeding and effective customer lock-ins.

Demonstrating operational excellence, Cipla successfully supplied over 90 distinct molecules to more than 250 customers globally.

FY 2024-25: Revenue by Geography



FY 2024-25: Revenue by Therapy



Cipla continues to strengthen its global footprint by partnering with leading generic companies and innovators to support the launch of new products across key markets, including Europe, Japan, Korea and Brazil. Our strong relationships with some of the world's largest generic pharmaceutical companies have enabled us to enhance value delivery and improve commercial outcomes for our partners. Looking ahead, Cipla aims to increase the number of seeding and lock-in opportunities for new molecules under development—laying the foundation for sustainable and long-term growth. To support this ambition, the company plans to expand its API R&D and manufacturing capacities. A continued focus on productivity and operational excellence has also led to significant cost optimisation, driven by ongoing improvements in process efficiency and yield.

Outlook for FY 2025-26

We remain aligned with Cipla's core purpose of "Caring for Life", striving to improve health outcomes globally. In FY2025–26, the business will continue to execute its reimagined strategy—focusing on critical and high-demand APIs to ensure reliable and uninterrupted supply to customers.

Key priorities for FY 2025-26 include maintaining a strong market position in the Top 10 APIs, onboarding new business through an expanded pipeline of molecules, and enhancing market presence through organic launches. We will also deepen its global footprint by partnering with innovators and expanding into untapped markets, reinforcing Cipla's commitment to sustainable and inclusive growth.

Human Resource Management and Industrial Relations

For details on Cipla's approach towards Human Resources, refer to Human Capital on page no. 78 of this report.

Adherence to accounting standards

The Company continues to adhere to standard accounting policies under the Indian Accounting Standards (Ind AS), applicable since 1st April, 2016. IND AS 116 pertaining to Leases was the sole addition under Section 133 of the Companies Act, 2013. These policies are to be read along with the relevant applicable rules and accounting principles. Changes in policies, if any, are approved by the Audit Committee.

Opportunities

Please refer page no. 48 for opportunities on material topics for the Company in the "Double Materiality Assessment" section.

Threats, risks and concerns

Threats such as geopolitical instability, trade protectionism, rise of popularity of anti-obesity medications, government imposed pricing and market competition can impact the Company's financial stability and hamper its business performance.

The Cipla Enterprise Risk Management ('ERM') program covers its key risks across all its business areas. The Investment and Risk Management Committee of the Board reviews and discusses the risk updates on a quarterly basis.

Please refer Page no. 54 for Enterprise Risk Management framework and overview of key risks and the mitigation measures.

Internal control and its adequacy

Cipla has an adequate system of internal controls commensurate with the nature of its business and the size and complexity of its operations. The Company has adopted policies and procedures covering all financial, operating and compliance functions. These controls have been designed to provide a reasonable assurance over:

- Effectiveness and efficiency of operations,
- Prevention and detection of frauds and errors,
- Safeguarding of assets from unauthorised use or losses,
- Compliance with applicable laws and regulations,
- Accuracy and completeness of the accounting records, and
- Timely preparation of reliable financial information.

The current system of Internal Financial Controls ('IFC') is aligned with the requirement of the Companies Act, 2013 and is in line with globally accepted risk-based framework as issued by the Committee of Sponsoring Organisations ('COSO') of the Treadway Commission.

The Company has an Internal Audit ('IA') function which functionally reports to the Audit Committee, thereby maintaining its objectivity. The IA function is supported by a dedicated internal audit team and resources from external audit firms.